

STRUCTURING MEMORANDUM

Keytree Limited

Introduction of €20m by Starter Point: scope, structures, tax effect and recommendation

Client	Keytree Limited, HE 372478, Cyprus - real estate development (Famagusta and Livadia, Larnaca sites)
Transaction	Introduction of €20m by Starter Point (Nigeria), applied partly in repayment of the existing shareholder loan and partly in funding the developments
Basis	Draft FS to 31.12.2025 (12.6.2026), M&A 2017, member's resolution 8.10.2020, Declaration of Trust 11.11.2022, Cyprus tax legislation as amended with effect from 1.1.2026
Status	Draft for discussion with the shareholders. Not for issue to the auditors; a separate paper on the selected structure will be prepared for their review.
Date	August 2026

Scope

The company has negative equity of €3,98m, tax losses of €3,2m, no turnover and a €30,4m shareholder loan. Mr Levy requires an 80/10/5/5 register (himself, Starter Point, two minorities), a 5% share of every distribution for each minority holder, and the ability to recover and redeploy the funds. This paper compares five structures against those objectives on company law, accounting, tax and practical grounds, so that the shareholders can select one. Detailed resolutions and auditor-facing papers follow the selection.

Structures compared

Ref	Instrument	Equity restored	Funds recoverable	Group tax effect
1A	Ordinary shares at a premium, plus bonus issue	Yes, +€16,0m	Court process	Nil
1B	Redeemable preference, discretionary dividend	Yes, +€16,0m	After profits arise	Nil
1C	Preference with fixed 8% entitlement	No - liability	After profits arise	Nil
2	Cyprus holding company subscribing equity	Yes, +€16,0m	Court process	Nil
3	Cyprus finance company lending at arm's length	No	At any time	€0,4m to €1,2m

Tax effect in brief

No structure produces a notional interest deduction of value inside Keytree: the deduction is capped at 80% of taxable profit from the assets financed, unused amounts do not carry forward, and Keytree will have no taxable profit until the projects sell. Structure 3 is the exception at group level. The finance company earns taxable interest sheltered by the deduction (2026 reference rate approximately 8 to 8,5%), leaving an effective 3% on interest income, while the interest is capitalised into Keytree's development cost and relieved at 15% on delivery. The net group benefit is approximately 12% of cumulative interest - €0,4m to €1,2m over six years at the 3% to 8% rates illustrated - with the rate itself to be set by a new transfer pricing study (local file required; the €20m facility exceeds the €10m financing threshold).

Recommendation

Structure 3, subject to the conditions on page 7: arm's length rate supported by a new study, consistent capitalisation of borrowing costs, Cyprus substance in the finance company, and evidenced source and sequence of funds. It is the only structure with a measurable tax benefit and the only one under which principal can be repaid and redeployed without a court application or distributable profits. It does not repair the balance sheet or place Starter Point on the register; if those objectives govern, structure 1A is the correct choice and the tax cost of choosing it is nil, because the equity routes never had a tax benefit to lose.

STRUCTURE 1A

Ordinary shares issued at a premium

The clean equity route - repairs the balance sheet and delivers the agreed register

How it works

Starter Point subscribes €20m for 170 new ordinary shares (€170 nominal, €19,999.830 share premium). Thirty bonus ordinary shares are then paid up out of the premium account - ten to Mr Levy and ten to each minority holder - producing exactly 80/10/5/5 on an enlarged capital of 1,700 shares. The authorised capital must first be increased (all 1,500 authorised shares are issued) and pre-emption under Regulation 6 disapplied or waived by all three members.

Shareholder	Now	Bonus	Subscribed	After
Mr Levy (through nominee)	1.350	10	nil	1.360 (80,0%)
Starter Point	nil	nil	170	170 (10,0%)
Minority shareholders (each)	75	10	nil	85 (5,0%)
Total	1.500	30	170	1.700 (100%)

Assessment

Accounting	Unambiguously equity under IAS 32. Equity moves from -€3,98m to approximately +€16,0m; the going concern question is resolved and no letter of support is needed.
Register	The only structure that delivers 80/10/5/5 on the ordinary register. Dividends then follow shareholdings, so the minority entitlement needs no special drafting.
Tax	New equity for Article 9B, but the notional deduction is worth nil in Keytree: capped at 80% of taxable profit from the assets financed, and Keytree has none; unused amounts are not carried forward. No group tax benefit.
Return of funds	The premium is capital. Recovery requires a reduction of capital: special resolution plus District Court sanction. Feasible here - the only substantial creditor is Mr Levy, who can consent - but slow, and repeated for each redeployment. Under the 2026 law, assets distributed on a reduction are measured at market value and the excess over capital paid in by that shareholder is taxed as a dividend; the exit must be planned around this.
Value transfer	The bonus issue lifts the minorities' combined 10% from a share of negative equity to approximately €1,6m of net assets, funded from Mr Levy's subscription premium economics. This is a known and accepted cost of the 80/10/5/5 objective, not a defect. Because the bonus shares are paid up from share premium - not from reserves available for distribution - the 2026 capitalisation-of-reserves dividend rule should not apply; to be confirmed before the resolutions are drafted.
Steps	Increase authorised capital (ordinary resolution, Registrar filing); align Memorandum clause 5 with the 2020 increase; disapply Regulation 6; subscription first, bonus issue second (Regulation 130 operates only once the premium account exists); record the commercial reason for the bonus issue in the minutes.

RESERVE OPTION. The correct choice if the balance sheet and the register are the governing considerations. Carries no tax benefit and the least flexible exit.

STRUCTURE 1B

Redeemable preference shares - discretionary, non-cumulative

Equity treatment with a court-free exit, once profits exist

How it works

Two new classes are created by special resolution before issue. Class B is subscribed by Starter Point at €20m (€1 nominal plus premium) and carries the economic return. Class A is issued as bonus shares to Mr Levy and the minorities, with rights defined in the Articles as a stated proportion of any amount distributed on Class B, so that each minority holder receives 5% of every distribution. Both classes carry discretionary, non-cumulative dividends on identical terms.

Assessment

Accounting	Equity under IAS 32 only if the company holds an unconditional right to refuse the dividend: payable solely if the directors declare it, and non-cumulative. Any automatic entitlement once profits exist converts the instrument into a financial liability. Terms to be agreed with the auditors before the resolutions are passed. On these terms equity rises to approximately +€16,0m and going concern is resolved.
Minorities	Protected by the proportionate entitlement written into the class rights - not left to a shareholders' agreement. A coupon on nominal value does not work: 150 Class A shares at 8% on €1 nominal would yield €12 a year against Starter Point's €1,6m. No capital movement is required and the full premium account remains available for redemption.
Register	If the preference shares are non-voting, the ordinary register stays at 90/5/5 and Starter Point does not appear as a 10% holder. Meeting that objective requires votes on the preference shares or a parallel small ordinary issue.
Return of funds	Redemption under section 57 of Cap. 113 without court sanction, on terms fixed by special resolution before issue - the sequence is mandatory. Section 55(3) allows the premium account to fund the redemption premium, so only the nominal €170 must come from distributable profits (with an equal transfer to the capital redemption reserve). The constraint is real: no distributable profits exist and none will arise until the projects complete and sell, so the flexibility is prospective.
Tax	Same position as 1A - the notional deduction accrues in Keytree and is worth nil. No group tax benefit.
Steps	Special resolution creating the classes and fixing redemption terms before issue (Regulation 8); variation of class rights thereafter needs three-fourths consent of the class (Regulation 9); authorised capital increase and Memorandum alignment as for 1A; extend the Declaration of Trust if Mr Levy holds Class A through the nominee, and update the beneficial ownership register.

NOT PREFERRED. Sound engineering, but the exit it promises is locked until profits arise, the register objective fails without voting preference shares, and it carries no tax benefit for the added class-rights complexity.

STRUCTURE 1C

Preference shares with a fixed or cumulative entitlement

The structure as originally discussed - included so the cost of certainty is visible

How it works

As 1B, but Class B carries a fixed entitlement of 8% (€1,6m a year) payable once profits exist, cumulative if unpaid. This is the certainty Starter Point originally sought: a defined return, ranking ahead of the ordinary shares.

Why it fails

Accounting	An obligation to pay that is conditional only on the existence of profits is still an obligation. Under IAS 32 the instrument is a financial liability, measured at the present value of the expected payments. The €20m arrives on the balance sheet as debt, not equity.
Balance sheet	Equity remains negative at €3,98m. The going concern issue is not resolved, the letter of support remains, and the audit report continues to carry the disclosure.
Accumulation	A cumulative 8% on €20m accrues at €1,6m a year against a company already carrying €3,98m of accumulated losses and no turnover. After the five to six years the projects need, €8m to €10m of arrears would rank ahead of every ordinary share, including the minorities' - a position that will be challenged the moment any other stakeholder examines it.
The rate is not the fix	Reducing 8% to 5% changes the size of the liability, not its classification. Only removing the obligation - making the dividend discretionary and non-cumulative - restores equity treatment, and that is structure 1B.
Tax	As 1A and 1B: no group tax benefit. The preference dividend is a distribution, not a deductible cost, so the fixed coupon buys certainty for Starter Point without any offsetting relief.

What the shareholders should take from this page

The instinct behind 1C - a fixed, senior, certain return - is exactly the economics of a loan. If that is what Starter Point wants, structure 3 delivers it with the same seniority in substance, an exit available at any time rather than after profits arise, and a deductible cost that ends up in the development stock rather than a growing preference overhang. If equity presentation is what matters, 1B delivers it at the price of discretion. 1C sits between the two and captures the benefit of neither.

REJECTED. A liability in equity clothing: it fails the balance sheet test that motivates an equity route, while foregoing the tax relief that motivates a debt route.

STRUCTURE 2

Cyprus holding company subscribing equity

Same instrument, different subscriber - a banking and platform play, not a tax one

How it works

Starter Point forms a Cyprus company and funds it with €20m of equity (1.000 shares at a premium). The new company subscribes for shares in Keytree on the terms of 1A or 1B. The instrument inside Keytree - and therefore the whole company law and accounting analysis - is identical to scenario 1; only the name on the register changes.

Assessment

Tax at the new company	The asset financed by the new equity is a shareholding in Keytree and the income from it is exempt dividends. The notional deduction is capped at 80% of taxable profit from the asset financed: 80% of nil is nil. No deduction arises at this level, and the deduction inside Keytree remains worthless for the reasons on page 2.
Group relief	Unavailable. It requires a 75% holding; the new company would hold 10%.
Cost	A second Cyprus company to administer indefinitely - audit, tax filings, registered office, directors - with no offsetting fiscal benefit.
Banking	The genuine advantage. A €20m remittance from a Nigerian company directly into a Cyprus property developer under common ownership will attract extended due diligence. Interposing a Cyprus company does not remove that scrutiny at the point of entry, but every subsequent movement is between Cyprus companies with an established banking history. This is a practical consideration, not a fiscal one, and it should be weighed with the receiving bank before implementation.
Platform	A holding vehicle has independent value if further Cyprus projects are contemplated: future acquisitions, co-investment and eventual exit can sit under one roof. If that is the intention, the company should be formed for that reason and this transaction routed through it incidentally - not the other way around.
Exit	As for the underlying instrument (court reduction under 1A terms; redemption after profits under 1B terms), plus one further step to extract the funds from the holding company to Starter Point.

Relationship to structure 3

Structures 2 and 3 use the same vehicle - a Starter Point-owned Cyprus company funded with €20m of equity - and differ only in what that company does with the money: subscribe it as equity (no tax effect anywhere) or lend it at interest (the only structure with a measurable benefit). If a Cyprus vehicle is to be formed at all, the marginal case for making it a finance company rather than a passive holder is the whole of the tax analysis on page 6.

NOT RECOMMENDED ON ITS OWN. Adopt only if the banking route or a multi-project platform independently justifies the vehicle - and if the vehicle is formed, structure 3 is the better use of it.

STRUCTURE 3 - RECOMMENDED

Cyprus finance company lending to Keytree

The only structure with a measurable tax benefit and an exit available at any time

How it works

Starter Point forms a Cyprus finance company and funds it with €20m of equity. The finance company lends the €20m to Keytree at an arm's length rate set by a new transfer pricing study. Keytree applies the funds in repaying part of the shareholder loan and in the developments, capitalising the interest into the cost of both projects.

The arithmetic

Per annum	At 3%	At 8%
Interest income in the finance company	€600.000	€1.600.000
Notional interest deduction (capped at 80%)	(€480.000)	(€1.280.000)
Taxable	€120.000	€320.000
Corporation tax at 15%	€18.000	€48.000
Effective rate on interest income	3,0%	3,0%
Cost capitalised into Keytree's developments	€600.000	€1.600.000

The 2026 reference rate (Cyprus 10-year bond yield at 31.12.2025 plus 5 points, per the Tax Department's published table) is approximately 8 to 8,5%, giving a deduction of €1,6m to €1,7m on €20m - comfortably above the 80% cap at either interest rate. Interest income of companies is now taxed under corporation tax only and is exempt from Special Defence Contribution, removing the passive-interest risk that existed under the former law. Capitalised interest carries no time limit and is relieved as cost of sales at 15% on delivery: the net group benefit is approximately 12% of cumulative interest, €0,4m to €1,2m over six years at the rates illustrated, against nil under every equity route. Exceeding borrowing costs remain within the €3m interest limitation safe harbour. No Cyprus withholding tax arises on the interest; stamp duty on the facility agreement is capped at €20.000.

The rate

The existing transfer pricing documentation supports a median of 3% on the current shareholder loans. It does not govern the new facility, but the new study must explain any departure from it. Keytree's credit has deteriorated - negative equity, no turnover, no security - so a materially higher rate may well be supportable, but it is the study's conclusion to reach, not a planning assumption. A local file is required in any event: the €20m facility exceeds the €10m financing threshold. The study should be commissioned before the client is given a firm expectation of the benefit.

Conditions and residual weaknesses

Substance	Cyprus-resident directors exercising real control over the lending risk. A company that does not control its risks is entitled only to a limited return at arm's length, which would remove the benefit.
Capitalisation	The policy must be applied consistently to both projects. The 2025 draft accounts are not consistent (€675.266 expensed, €289.709 capitalised) and the policy determines whether the structure delivers any benefit at all. To be agreed with the auditors.
Balance sheet	Not repaired: negative equity remains, gearing rises, the letter of support and going concern disclosure continue. Starter Point does not join the register; if that matters, combine with a small share issue.
Anti-abuse	Common ownership, funds partly returning to Mr Levy, and a deduction created within the group. The commercial rationale, the source of Starter Point's funds and the sequence (advance received before any repayment to Mr Levy) must be documented from the outset.

RECOMMENDED. Principal repayable and redeployable at any time subject to cash; no court, no resolutions, no waiting for profits; the only structure whose tax line is positive.

STRESS-TESTING THE RECOMMENDATION

Challenge and response

The questions each party at the table should ask - and the answers this paper relies on

Raised by	Challenge	Response
Mr Levy	"Equity costs nothing. Why accept tax at the finance company at all?"	Equity here carries no deduction of any value - the notional deduction in Keytree is worth nil on these facts. The 3% effective cost at the finance company buys 15% relief in Keytree on delivery; the group keeps roughly 12% of every euro of interest. Free equity forfeits the entire benefit.
Mr Levy	"Structure 1A hands the minorities €1,6m of value I paid for."	Correct, and unavoidable if 80/10/5/5 must appear on the register while equity is injected: with no reserves, only bonus shares from the subscription premium hold them at 5%. Structure 3 avoids the transfer entirely because no shares are issued.
Minority advisors	"Our pre-emption rights under Regulation 6 are being disapplied."	Under structure 3 they are not engaged - no shares are issued and the minorities' position is untouched. Under any share issue, waivers or a disapplying resolution are required and the minorities' 5% is protected by bonus shares (1A) or class rights in the Articles, not a side agreement (1B).
Auditors	"Going concern is unresolved and the group is more geared."	Accepted. The letter of support from Mr Levy continues, as it does today. If the audit position is the governing concern, 1A is the answer and this paper says so on page 1 - the choice costs nothing in tax.
Auditors	"Is the interest genuinely capitalisable?"	Yes - borrowing costs directly attributable to the development of qualifying stock, the ordinary treatment for a developer recognising revenue on delivery. The 2025 inconsistency is to be corrected and the policy agreed before implementation.
Tax Department	"A related-party loan replacing a shareholder loan, priced above the 3% the existing study supports, creating a deduction inside a common-ownership group."	The rate will be whatever the new study concludes on current facts - it is not assumed. The local file will be in place before the first interest accrual. The €20m is new money from Starter Point's own resources, received before any repayment to Mr Levy, with the commercial rationale minuted. The structure is disclosed, documented and priced at arm's length; it does not depend on the notional deduction surviving in Keytree.
Receiving bank	"A €20m remittance from Nigeria into a Cyprus developer under common ownership."	Source-of-funds evidence assembled before the remittance; Nigerian exchange control position confirmed at the sending end; the banking route agreed as viable before a structure is implemented. If the bank prefers a Cyprus point of entry, the finance company itself provides it.

Before implementation

Commission the new transfer pricing study and obtain the existing one. Agree the capitalisation policy and, if a preference route is revisited, the IAS 32 classification with the auditors. Align Memorandum clause 5 with the 2020 capital increase and complete the Registrar filings. Evidence the source and sequence of the funds. Extend the Declaration of Trust and update the beneficial ownership register where new instruments are held through the nominee. Confirm the banking route. Once the shareholders select a structure, a single-structure paper with draft resolutions will be prepared in a form suitable for review by the company's auditors.

Vertu Projects Ltd

Leonidas Papadopoulos

Director

This paper is prepared by Vertu Projects Ltd for discussion with the shareholders of Keytree Limited and is not to be issued to third parties. Figures are taken from the draft financial statements for the year ended 31 December 2025 and have not been independently verified. Nothing in this paper constitutes a binding tax opinion; the matters listed above require confirmation before any structure is implemented.